

24NNCV03830 24NNCV03830

County: los-angeles

Division: Civil Law and Motion

Department: T

Hearing date: 2026-08-13

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=ALH%2CT%2C08%2F13%2F2026

Source SHA-256: 90cb38144a8f2fe2182a604c134db31ddce44f5a63232f6f1e8b40be7792f893

Case Number: 24NNCV03830 Hearing Date: August 13, 2026 Dept: T

Hearing Date: August

13, 2026

Case Name: Valeria Ortega vs. Mercedes-Benz

Usa, LLC, a Delaware Limited Liability Company

Case No.: 24NNCV03830

Motion: Motion

to Withdraw Claim from Arbitration and Vacate Stay of Proceedings

Moving Party: Defendant

Tesla,

Inc.

Responding Party: None

Tentative Ruling: Denied

BACKGROUND

This

is a lemon law action regarding a 2023 Mercedes-Benz EQE-Class ("Vehicle").

On

August 27, 2024, Plaintiff Valeria Ortega ("Plaintiff") filed a complaint

against Defendant Mercedes Benz USA, LLC ("Defendant").

On

June 27, 2025, the Court granted Defendant's motion to compel arbitration and stay the proceedings.

Plaintiff

now moves to withdraw the claim from arbitration and to vacate the stay.

Defendant opposes, and Plaintiff replies.

MOVING

PARTY POSITION

Plaintiff

argues that Code of Civil Procedure section 1281.98 mandates Defendant's waiver of the right to arbitration following its failure to timely pay the arbitration fees. Plaintiff further argues that Defendant cannot establish excusable neglect.

OPPOSITION

Defendant

contends that a recent California Supreme Court decision permits the trial court to allow the claim to proceed in arbitration despite the untimely payment. Defendant also asserts that its late payment of the filing fee was a result of mistake, inadvertence, or other excusable neglect by prior counsel, without providing any evidence in support of this assertion.

REPLY

Plaintiff responds that Defendant has not shown its entitlement to relief from waiver under Section 1281.98 or shown that Code of Civil Procedure section 437(b) provides for this relief under these circumstances.

ANALYSIS

I. Legal

Standard

“In

an employment or consumer arbitration that requires, either expressly or through application of state or federal law or the rules of the arbitration provider, that the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach.” (Code Civ. Proc. § 1281.98, subd. (a)(1).)

“If

the drafting party materially breaches the arbitration agreement and is in default under subdivision (a), the employee or consumer may unilaterally elect to do any of the following: (1) Withdraw the claim from arbitration and proceed in a court of appropriate jurisdiction. If the employee or consumer withdraws the claim from arbitration and proceeds with an action in a court of appropriate jurisdiction, the statute of limitations with regard to all claims brought or that relate back to any claim brought in arbitration shall be tolled as of the date of the first filing of a claim in any court, arbitration forum, or other dispute resolution forum.” (Code Civ. Proc. § 1281.98, subd. (b)(1).)

“[T]he

statute does not abrogate the longstanding principle, established by statute and common law, that one party's nonperformance of an obligation automatically extinguishes the other party's contractual duties only when nonperformance is willful, grossly negligent, or fraudulent.”

(Hohenshelt v. Superior Court (2025) 18 Cal.5th 310, 323.) “[T]he Legislature did not intend ‘to strip companies and employers of their contractual right to arbitration where nonpayment of fees results from a good faith mistake, inadvertence, or other excusable neglect.’” (Wilson v. TAP Worldwide, LLC (2025) 114 Cal.App.5th 1077, 1086 [quoting Hohenshelt, supra, at p. 323.]) “Rather, the Legislature's intent was ‘to deter companies and employers from engaging in strategic nonpayment of arbitration fees.’” (Ibid.)

III. Discussion

Here,

it is undisputed that Defendant failed to timely pay the requested administration fees to the American Arbitration Association. (Louis Decl. ¶ 7, Exh. 4.) However, as Plaintiff did not submit any evidence establishing that Defendant's failure to timely pay these fees was willful, grossly negligent, or fraudulent, there is no automatic waiver of Defendant's right to arbitration under Section 1281.98. (Wilson, supra, 114 Cal.App.5th at p. 1087 ["The lynchpin of our high court's holding that the FAA does not preempt section 1281.98 is its interpretation of section 1281.98 to mandate automatic forfeiture of arbitral rights only when the drafting party's failure to timely pay the required fees was willful, grossly negligent, or fraudulent."].) Defendant likewise failed to submit any evidence showing that its failure to timely pay these fees was the result of a good faith mistake, inadvertence, or other excusable neglect.

Although there is no evidence submitted by either side, it appears undisputed that Defendant paid the required arbitration fees, albeit after they were due. (Opposition, 3:4 – 3:5; Reply, 2:5 – 2:7). Given the lack of evidence supporting the conclusion that the failure to timely pay the fee was "willful, grossly negligent, or fraudulent," the Court cannot find that there was a waiver of the contractual right to arbitration.

RULING

Plaintiff's

Motion to Withdraw Claim from Arbitration and Vacate Stay of Proceedings is DENIED.